Inventory Operations Manual

Warehouse reference handbook | Demonstration edition

Document owner	Inventory Operations
Classification	Internal training example
Applies to	Product catalogue and warehouse quantity records
Status	Fictional content for software testing

1. Purpose and daily working principles

This handbook describes the routine used by the fictional Northstar Distribution warehouse to maintain its product catalogue and on-hand inventory. The inventory application contains a product name, unit price, assigned supplier, primary category, and current quantity for every active line. These fields support warehouse searches and basic purchasing decisions, but they do not represent reserved stock, purchase orders in transit, taxes, discounts, or supplier lead times.

At the beginning of each shift, the inventory coordinator reviews records that changed during the previous working period. Particular attention is given to items with zero quantity, unexpectedly large movements, missing supplier assignments, or prices that appear inconsistent with similar products. Staff should use the application as the system of record for current quantities, while recognising that a physical count may still be required when a discrepancy is reported.

Product creation and naming

A new product is created only after the catalogue has been searched for an existing record. Names should describe the item in a way that remains understandable without relying on local abbreviations. Model, size, pack type, or material may be included where they distinguish otherwise similar items. For example, “Nitrile Gloves, Blue, Size M, Box of 100” is preferable to “Blue Gloves”.

> **Working note:** Two lines may share a commercial name when the model or pack size differs. In that situation, the distinguishing information belongs in the name or a separate identifier. Staff must not merge products solely because their names look similar.

Example product	Supplier	Category	Unit price	Quantity
Nitrile Gloves, Blue, Size M	SafeCore GmbH	Safety Equipment	EUR 8.40	38
Packing Tape, Clear, 50 mm	PackRight AG	Packaging	EUR 2.25	126
USB-C Docking Station D14	NordCom Supply	Electronics	EUR 119.00	0
Printer Paper A4, Box of 5	OfficeLine KG	Office Supplies	EUR 24.90	-3

The final line in the example requires investigation. A negative quantity does not describe usable stock. It may indicate an outbound transaction posted before a receipt, a duplicate issue, or an incorrect adjustment. The warehouse supervisor decides how the balance is corrected after transaction records and physical stock have been checked.

2. Receiving, issuing, and adjusting stock

Delivered goods are not treated as available merely because a purchase order exists or a vehicle has arrived. The receiving team checks the delivery against the accompanying reference, confirms the product and delivered amount, and records accepted units. Damaged or quarantined items are kept outside normal available stock when the supporting process allows this separation. Only accepted units are added to the quantity visible to warehouse users.

Quantity decreases after a confirmed sale, shipment, internal issue, disposal, or approved correction. Where transaction history is available, the movement should identify the product, amount, date, reason, and source reference. Staff should avoid directly replacing an incorrect number without recording the explanation, because an unexplained change makes subsequent reconciliation difficult.

Status conventions used in the demonstration environment

The application’s daily review uses a simple operational convention rather than product-specific reorder points. A quantity of 50 or more is displayed as in stock. Values from 1 to 49 are shown as low stock and should be reviewed for replenishment. Zero is out of stock. Any value below zero is placed on the data-quality exception list and is excluded from ordinary availability statements.

Recorded quantity	Daily-review label	Expected handling
50 or more	In stock	Continue routine monitoring. A high quantity does not by itself indicate overstock.
1 to 49	Low stock	Review recent demand and contact the assigned supplier if replenishment is required.
0	Out of stock	Do not promise availability. Check open purchasing activity outside the core product record.
Below 0	Data exception	Investigate movements and physical stock before making an operational decision.

Corrections after a physical count

When a physical count differs from the application, the count result is rechecked before an adjustment is posted. The adjustment reflects the difference, not an unsupported replacement of the entire transaction history. A short reason such as “damaged items not previously written off” or “receipt posted to wrong product” is recorded. Repeated discrepancies for the same item are escalated for process review.

> The quantity displayed by the chatbot is a recorded balance, not a guarantee that an order can be fulfilled. The basic product table does not show reservations or goods awaiting quality approval.

3. Search, valuation, and exception handling

Warehouse users commonly search by part of the product name and then narrow the result using supplier or category. Similar matches should be displayed separately. If the request refers to “gloves” and several sizes are returned, the user is asked to select the required record rather than receiving a combined quantity. Category names are controlled to reduce spelling variations, and new categories are created by the master-data coordinator after existing options have been reviewed.

Use of unit prices

The unit price represents one defined inventory unit. Before comparing products, users should understand whether that unit is an individual item, pack, box, kilogram, or litre. The application does not indicate whether tax, freight, or a temporary discount is included. A zero price may be valid for a sample but is also reviewed as potentially incomplete data. Negative product prices are not accepted as standard prices; credits and rebates belong to separate financial transactions.

For a simple operational estimate, inventory value is calculated by multiplying the current unit price by the current quantity for each valid record. Ten items recorded at EUR 12.50 produce an estimated value of EUR 125.00. This figure is not an accounting valuation and does not incorporate weighted-average costing, depreciation, tax, or reserved stock.

Examples from the morning review

Observation	Interpretation	Follow-up
USB-C Docking Station D14 shows quantity 0	The item is out of stock in the current product table.	Check purchasing records; do not claim that an expected delivery is available.
Nitrile Gloves show quantity 38	The item falls within the demo low-stock range.	Review usage and consider replenishment from SafeCore GmbH.
Printer Paper shows quantity -3	The balance is a data exception, not negative availability.	Reconcile movements and conduct a physical check.
A product has no category	Catalogue reporting will be incomplete.	Assign an approved category without guessing from similar items.

Questions that cannot be answered from the recorded fields are referred to the responsible warehouse or purchasing contact. The system should distinguish missing information from a negative answer. For example, the absence of lead-time data does not mean that a supplier has no lead time; it means the current source does not contain it.

Document status: Fictional training material prepared for application and retrieval testing. Figures, companies, products, and procedures are illustrative and are not live warehouse instructions.